

DEMO WATER SERVICES BOARD

# Comprehensive Bribery and Corruption Risk Assessment Report

FY 2026/2027 - prepared using the EACC Practical Guide for Corruption Risk Assessment and Management (Appendix III(a) format)

|                     |                                                                                                                                                 |
|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| Institution         | Demo Water Services Board (DWSB), Institution ID DEMO-002                                                                                       |
| Document reference  | DWSB/ABC/CRA/2026-27/v1.0                                                                                                                       |
| Version / status    | Version 1.0 - ACTIVE (no predecessor)                                                                                                           |
| Assessment period   | Fieldwork 3 - 21 August 2026; covers operations for FY 2026/2027                                                                                |
| Approval            | Recommended by the CPC at its Q1 meeting of 25 September 2026 (Min. CPC/04/Q1/2026-27); approved by the Accounting Officer on 25 September 2026 |
| Effective from / to | 25 September 2026 to 30 June 2027 (or until superseded)                                                                                         |
| Prepared by         | IAO Committee, coordinated by Mr. Daniel Otieno                                                                                                 |

Evidence category: **Risk-assessment evidence** (Sub-indicator 2). Submitted to the oversight portal on 29 September 2026, before the 30 September 2026 foundation deadline.

## 1.0 Context of the assessment

This assessment was conducted after the Board's Procedures for the Prevention of Bribery and Corruption were approved (Board Resolution DWSB/BD/RES/2026/014) and as a precondition for the FY 2026/2027 corruption prevention performance contract indicator. During FY 2025/2026 the Board waived KES 1.9 million in connection fees, and two public complaints alleged that waivers were granted in exchange for payments. An internal audit found that 9 of 40 sampled procurement approvals lacked complete documentation. The Managing Director responded with an interim two-level approval rule from 1 July 2026, which this assessment takes into account.

## 2.0 Scope: core and support functions

| Category         | Functional areas assessed                                                                                                                |
|------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Core mandate     | New connections; metering and billing; revenue collection and fee waivers; enforcement against illegal connections; customer complaints. |
| Support services | Procurement; human resource (recruitment); finance (imprest and payments); ICT (billing-system administration); stores and transport.    |

## 3.0 Methodology

The IAO Committee reviewed process maps, interviewed 26 staff across the ten functional areas, examined complaints and audit reports for FY 2025/2026 and held a validation workshop with heads of department. Each risk is scored on the declared 1-5 scales below; severity score = Probability x Impact (1-25).

| Score | Probability (Pr)                        | Impact (Im)                                                 |
|-------|-----------------------------------------|-------------------------------------------------------------|
| 1     | Rare - not expected in the year         | Negligible - no service or revenue effect                   |
| 2     | Unlikely - could occur once in the year | Minor - isolated, quickly corrected                         |
| 3     | Possible - may occur a few times        | Moderate - revenue or fairness affected                     |
| 4     | Likely - occurs regularly               | Major - systemic revenue loss or media attention            |
| 5     | Almost certain - occurs frequently      | Severe - widespread loss of public trust or legal liability |

Severity bands: High 15-25; Medium 6-12; Low 1-5.

#### 4.0 Risk register (Appendix III(a): Corruption Risk Assessment)

Name of Institution: **Demo Water Services Board** FY: **2026/2027** Corruption Risk Assessment

| S. No | Functional area                                     | Identified corruption risk (what could go wrong)                                                                                                                                              | Risk source (why would the risk event occur)                                                                                                   | Pr (1-5) | Im (1-5) | Score (Pr x Im) | Band   | Existing controls                                                                                   |
|-------|-----------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|----------|----------|-----------------|--------|-----------------------------------------------------------------------------------------------------|
| R-01  | Billing and revenue - connection fee waivers (Core) | Undocumented waivers of connection fees: new-connection and reconnection fees waived without a documented, independently approved basis, creating room for bribes.                            | Until June 2026 a single Revenue Officer could approve and apply a waiver; manual waiver forms; review only in monthly revenue reconciliation. | 4        | 4        | 16              | High   | Two-level approval introduced by Circular DWSB/MD/CIRC/2026/07 from 1 July 2026 (not yet verified). |
| R-02  | Procurement - approvals (Support)                   | Weak oversight of procurement approvals: requisitions, quotation awards and LPOs approved outside delegated authority or without competitive quotations or conflict-of-interest declarations. | Approval delegated to section heads; no independent post-approval check; approval checklist not enforced.                                      | 4        | 4        | 16              | High   | PPADA procedures; e-procurement; tender committee declarations.                                     |
| R-03  | New connections (Core)                              | Unofficial payments to jump the connection queue or bypass survey steps.                                                                                                                      | Manual application tracking; face-to-face follow-up; unpublished service timelines.                                                            | 4        | 3        | 12              | Medium | Service charter displayed at counters.                                                              |
| R-04  | Metering and billing (Core)                         | Meter readers or billing clerks under-record consumption or adjust bills in exchange for kickbacks.                                                                                           | Manual meter books; billing adjustments not exception-reported.                                                                                | 3        | 4        | 12              | Medium | Supervisor spot checks of 5% of routes.                                                             |
| R-05  | Enforcement - illegal connections (Core)            | Enforcement officers accept bribes to overlook illegal connections or drop penalties.                                                                                                         | Fixed teams per zone; cases recorded after the field visit.                                                                                    | 3        | 4        | 12              | Medium | Case files reviewed by Head, Technical Services.                                                    |
| R-06  | Human resource - recruitment (Support)              | Influence peddling or payments to secure casual or permanent positions.                                                                                                                       | Casual hiring by section heads; shortlisting criteria not documented.                                                                          | 3        | 3        | 9               | Medium | HR Advisory Committee for permanent posts.                                                          |
| R-07  | Stores and transport (Support)                      | Collusive pilferage of fuel and stores items.                                                                                                                                                 | Manual fuel registers; stores issues not reconciled to work orders.                                                                            | 2        | 3        | 6               | Medium | Quarterly stock take.                                                                               |
| R-08  | Finance - imprest and payments (Support)            | Irregular imprest issued or surrendered with fictitious receipts.                                                                                                                             | Imprest tracked in spreadsheets; late surrender not escalated.                                                                                 | 2        | 4        | 8               | Medium | IFMIS approval workflow; internal audit.                                                            |

## 5.0 Summary of results

| Band          | Risks                                                         | Count |
|---------------|---------------------------------------------------------------|-------|
| High (15-25)  | R-01 (16), R-02 (16)                                          | 2     |
| Medium (6-12) | R-03 (12), R-04 (12), R-05 (12), R-06 (9), R-08 (8), R-07 (6) | 6     |
| Low (1-5)     | -                                                             | 0     |

## 6.0 Assessment of existing controls

The interim two-level waiver approval rule addresses the design weakness behind R-01, but it is new and has not been verified; the register must be checked every quarter. Procurement approvals (R-02) are system-recorded but nobody independently checks them after the fact, so approvals outside delegated authority go undetected. Controls for the remaining core risks depend on supervisor spot checks, and staff awareness of the new Procedures is low. Support-function controls are largely system-enforced (IFMIS, e-procurement) and are rated adequate subject to staff awareness.

## 7.0 Recommendations to the Mitigation Plan

- Formalise the two-level fee waiver approval workflow in the waiver register, restrict waivers to the monthly Waiver Approval Sitting, verify the register in Q1 and complete an exception review every quarter from Q2 (treats R-01).
- Train the staff who handle waivers on the Procedures in Q1 (treats R-01).
- Spot-check a sample of at least ten procurement approvals every quarter from Q2 and record the findings at the CPC (treats R-02).
- Continue existing controls for R-03 to R-08 and monitor them at each quarterly CPC meeting.
- Hold quarterly IAO Committee and CPC meetings to track implementation and approve reports to the Commission.

## 8.0 Approval

| Name              | Designation / role                                                          | Signature                                                                            | Date        |
|-------------------|-----------------------------------------------------------------------------|--------------------------------------------------------------------------------------|-------------|
| Mr. Daniel Otieno | Chair, IAO Committee (prepared)                                             |  | 21 Aug 2026 |
| Eng. Halima Odera | Accounting Officer (approved, on CPC recommendation Min. CPC/04/Q1/2026-27) |  | 25 Sep 2026 |